INSTITUTIONAL TRADING STRATEGY

Smart Money Stock Analyzer

The 10 Golden Rules for IPO Listing Gains

A systematic, risk-managed playbook to capture 20%–40%+ Day-1 listing profits and protect your capital

PHASE 1: WHICH IPO TO PICK (THE SELECTION FILTERS)

SCREENING PHASE

Rule 1: The 20% GMP Hard Filter (Minimum Barrier)

Mandatory

Never apply for an IPO with **less than 20% Grey Market Premium (GMP)** on closing day.

Why it matters: Under T+3 settlement, there is a 3-day gap between bidding and listing. A 20%+ GMP creates a safety cushion against market dips (Nifty dropping 200–300 pts). A 10% GMP can easily evaporate to a discount.

Rule 2: The QIB Subscription Filter (≥ 15× – 20×+)

#1 Pop Predictor

Check Qualified Institutional Buyer (QIB) bids on **Day 3 by 1:30 PM**. Only apply if QIB is subscribed at least **15× to 20×+**.

Why it matters: Mutual funds, FIIs, and banks have expert balance sheet analysts. Heavy institutional bidding on the final day guarantees aggressive pre-open buying interest on listing morning.

Rule 3: Beware of 100% OFS (Offer For Sale) Traps

Caution

Check if the issue is a **Fresh Issue** (capital enters the company) or **OFS** (promoters/PE cashing out).

Why it matters: 100% OFS issues at high valuations (e.g. Tonbo Imaging) often face heavy post-listing dumping by pre-IPO shareholders. Prefer issues with at least **40%–50% Fresh Issue**.

PHASE 2: HOW & WHEN TO APPLY (MAXIMIZING ALLOTMENT)

BIDDING STRATEGY

Rule 4: The Day 3 "Sweet Spot" (12:00 PM – 2:30 PM)

Timing Rule

Do NOT apply on Day 1 or Day 2. Under SEBI rules, IPO allotment is a randomized lottery (NOT first-come, first-served).

Why it matters: Bidding on Day 3 between 12:00 PM and 2:30 PM gives you 100% visibility into institutional QIB demand and final GMP while completely avoiding last-hour UPI server traffic jams.

Rule 5: Always Tick "Cut-off Price" (Maximum Band)

Bid Integrity

In your broker app (Zerodha, Groww, Angel One), always check the **"Cut-off Price"** box.

Why it matters: High-demand IPOs always price at the upper band. Bidding even ₹1 below the ceiling guarantees immediate disqualification in an oversubscribed issue.

Rule 6: 1 Lot × Multiple Family PANs (Lottery Multiplier)

Allotment Hack

In oversubscribed retail categories, allotment is max **1 lot per winning PAN** via computerized draw.

Why it matters: Applying for 10 lots (₹1.5 Lakh) from 1 account gives only 1 lottery ticket. Applying for **1 lot each across 4 family members** (Self, Father, Mother, Spouse) gives **4× higher chances**.

Rule 7: Mandate Authorization Before 4:00 PM

Execution

Immediately open your UPI app (PhonePe, GPay, BHIM) and accept the auto-debit block. Ensure the broker app status shows **"Mandate Approved"** before 4:00 PM.

PHASE 3: LISTING DAY EXECUTION (LOCKING PROFITS)

EXIT PROTOCOL

Rule 8: The 9:45 AM Pre-Open Settlement Check

Pre-Open (9:00 - 9:45)

At exactly **9:45 AM**, the indicative discovery price freezes on NSE/BSE. Note your exact profit percentage before normal trading begins at 10:00 AM.

Rule 9: The "First 30 Minutes" Exit Window (10:00 – 10:30 AM)

Profit Lock

Place a **Market Sell Order between 10:00 AM and 10:30 AM** to lock in your gains.

Why it matters: Over 70% of high-gain IPOs touch their peak intraday price in the first 30–60 minutes. After 10:30 AM, retail flippers and HNI sellers initiate heavy profit booking.

Rule 10: The "Never Fall In Love" Rule

Discipline

Stick strictly to your thesis. If you applied for listing gains, exit on listing day. Never convert a listing trade into an involuntary long-term holding out of greed or hope. Take the cash, celebrate the gain, and redeploy into the next IPO!

THE 10-SECOND PRE-BID VERIFICATION CHECKLIST

Quick Action Protocol

- ✓ Is the GMP ≥ 20% on Day 3 morning?
- ✓ Is QIB subscribed ≥ 15× by 1:30 PM on Day 3?
- ✓ Overall subscription ≥ 25× – 30×+?
- ✓ App AI Conviction Score ≥ 75%?
- ✓ Bidding at the exact Cut-off Price?
- ✓ Bidding 1 lot each across multiple family PANs?
- ✓ UPI Mandate authorized before 4:00 PM?
- ✓ Calendar alert set for Listing Day 9:55 AM?

Stock Analyzer Pro • IPO Quantitative Intelligence

Source: SEBI Guidelines, NSE/BSE Allotment Rules & Chittorgarh Grey Market Analytics